

Capital Gains and Investors

Investors often use the capital gains exclusion as an investment technique. If they've lived in a home for at least two of the previous five years, the exclusion applies. For instance, the investor will live in one house for two years, sell it for a profit, then take the capital gains exclusion and move into another home. Who wants to move every two years? Investors and builders. Sometimes a builder will sit on a piece of investment property he intends to develop, then he'll develop it lot by lot, moving from one newly built house to another every two years to take advantage of the capital gains write-off. It's the ultimate live/work philosophy.

Then there are fix-and-flip investors who move into their "project" house, fix it up, and sell it two years later, taking the capital gains exclusion. Let's say an investor paid \$215,000 for a property and, with upgrades and add-ons, it appreciated to \$380,000 in two years. If the investor sold at that price, that could be a gain (after deducting for improvements) of around \$100,000. Capital gains tax on that \$100,000 would take a hefty chunk of the profit. However, the investor can take a capital gains exclusion of up to \$250,000 (or \$500,000 if married filing jointly) and avoid paying capital gains tax, whether the investor purchases another property or not.

The capital gains exclusion may only be claimed once every two years. Even second homes qualify for capital gains exclusions if the taxpayer lives, works at, and uses the second home as a primary residence every other year. However, the holding period for the exclusion increases to four years. A taxpayer can take one exclusion and wait another two years before the other exclusion can be claimed.